CHAPTER-FOUR
ORGANIZATIONAL CHANGE AND STRESS MANAGEMENT

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Organizational Change

- Organizational change refers to the actions in which a company or business alters a major component of its organization, such as its culture, the underlying technologies or infrastructure it uses to operate, or its internal processes.
- Organizational change management is the process of guiding organizational change to a successful resolution, and it typically includes three major phases: preparation, implementation, and follow-through.
- No company today is in a particularly stable environment. Even those with a dominant market share must change, sometimes radically.

Forces for Change

"Change or die!" is the rallying cry among today's managers worldwide. Six specific forces that stimulate change are given below-

- Changing nature of the workforce
- Technology
- Economic shocks
- Competition
- Social trends
- World politics

Forces for Change

- **Changing Nature of the Workforce:** Almost every organization must adjust to a multicultural environment, demographic changes, immigration, and outsourcing.
- **Technology:** Technology is continually changing jobs and organizations. It is not difficult to imagine the idea of an office becoming an antiquated concept in the near future.
- **Economic Shocks:** Economic shocks also have a significant impact on organizations. During the great recession of 2007 to 2009, millions of jobs were lost worldwide; home values dropped dramatically; and many large well-known corporations disappeared or were acquired. Recovery has occurred in many countries, and with it has come new job prospects and investments.

Forces for Change

- **Competition:** Competition is changing. Competitors are as likely to be across the ocean as across town. Successful organizations are fast on their feet, capable of developing new products rapidly and getting them to market quickly. In other words, they are flexible and require an equally flexible and responsive workforce.
- **Social Trends:** Social trends don't remain static either. Organization must therefore adjust product and marketing strategies continually to be sensitive to changing social trends. Consumers, employees, and organizational leaders are also increasingly sensitive to environmental concerns.

Forces for Change

- **World Politics:** Not even globalization's strongest proponents could have imagined the change in world politics in recent years. We have seen a major set of financial crises that have rocked global markets, a dramatic rise in the power and influence of China, populism and nationalist movements gaining headway in Europe and the United States and intense shakeups in governments across the Arab world.

Overcoming Resistance to Change

- Eight tactics can help change agents deal with resistance to change. These are -
  - Communication
  - Participation
  - Building Support and Commitment
  - Develop Positive Relationship
  - Implementing Changes Fairly
  - Manipulation and Cooptation
  - Selecting People Who Accept Change
  - Coercion

Overcoming Resistance to Change

- **Communication:** Communication is more important than ever in times of change. One study of German companies revealed changes are most effective when a company communicates a rationale that balances the interest of various stakeholders. Other research on a changing organization in the Philippines found that formal information sessions decreased employees anxiety about the change.
- **Participation:** It's difficult to resist a change decision in which we have participated. Assuming participations have the expertise to make a meaningful contribution, their involvement can reduce resistance, obtain commitment, and increase the quality of the change decision.

Overcoming Resistance to Change

- **Building Support and Commitment**: When managers or employees have low emotional commitment to change, they resist it and favor the status quo. Employees are also more accepting of changes when they are committed to the organization as a whole. Motivating employees and emphasizing their commitment to the organization overall can help them commit emotionally to the change rather than embrace the status quo.
- **Develop Positive Relationship:** People are more willing to accept changes if they trust the managers implementing them and see them as legitimate. Those who had a more positive relationship with their supervisor, and who felt that the work environment supported development, were much more positive about the change process.

Overcoming Resistance to Change

- **Implementing Changes Fairly:** One way organizations can minimize negative impact is to make sure change is implemented fairly. Procedural fairness is especially important when employees perceive an outcome as negative, so it's crucial that employees see the reason for the change, are kept informed about its progress, and perceive its implementation as consistent and fair.
- **Manipulation and Cooptation:** Manipulation refers to convert influence attempts. Twisting facts to make them more attractive, withholding information, and creating false rumors to get employees to accept change are all examples of manipulation. Cooptation, on the other hand, combines manipulation and participation. It seeks to buy off the leaders of a resistance group by giving them a key role, seeking their advice not to find a better solution but to get their endorsement.

Overcoming Resistance to Change

- **Selecting People Who Accept Change**: Research suggests the ability to accept and adapt easily to change is related to personality – some people are simply more receptive to change. Individual who are emotionally stable, have high core self-evaluation, are willing to take risks, and are flexible in their behavior are prime candidates.
- **Coercion:** Last on the list of tactics is coercion, the application of direct threats or force on the resisters. If management is determined to close a manufacturing plant whose employees don't acquiesce to a pay cut, the company is using coercion. Other examples threatening employees with transfer, blocked promotion, negative performance evaluation, and poor letters of recommendation.

Approaches to Managing Organizational Change

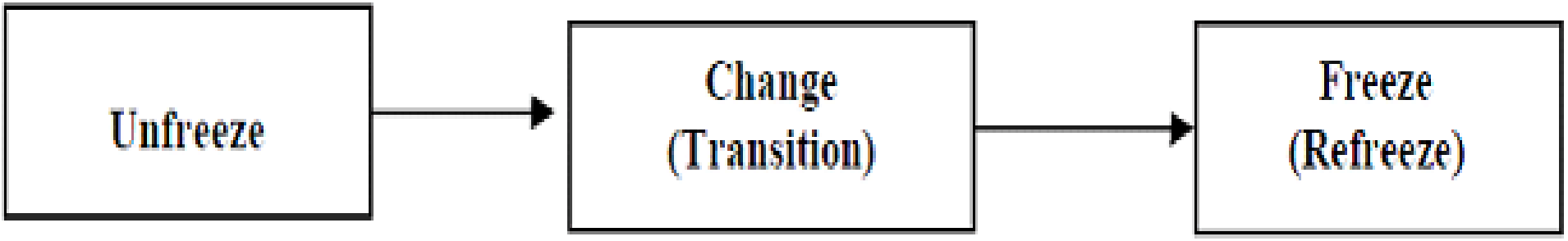
We now turn to several approaches to managing change. These are -

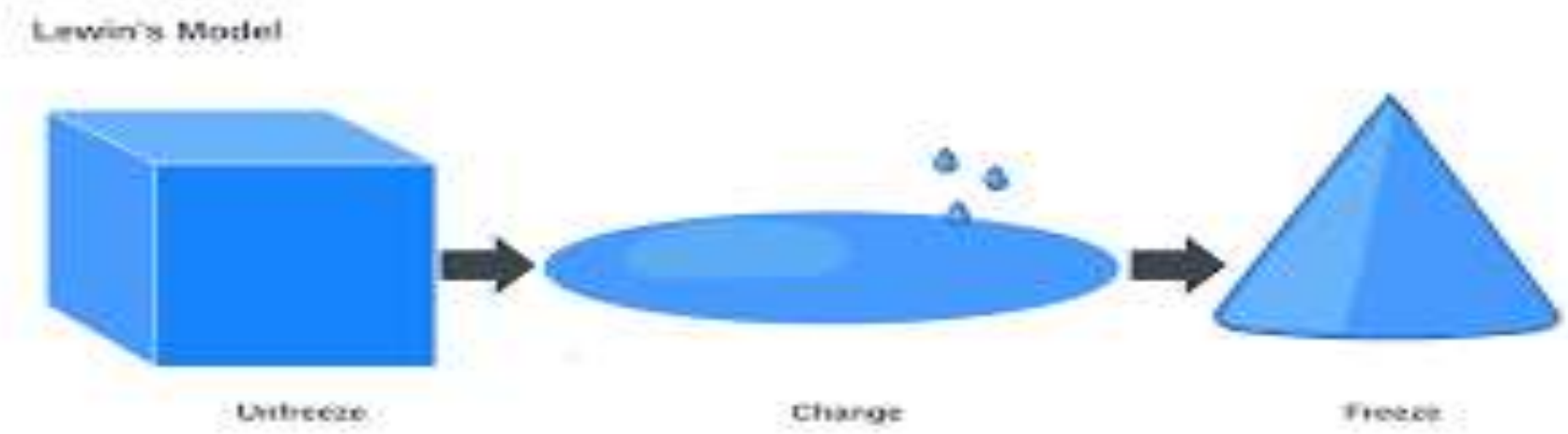
- Kurt Lewin’s Three Steep Model of The Change Process
- John Kotter Eight-Step Plan for Implementing Change

Kurt Lewin's Three Steep Model of Change Process

- Kurt Lewin's Three Stages model or the Planned Approach to Organizational is one of the cornerstone models which is relevant in the present scenario even.
- Lewin, a social scientist and a physicist, during early 1950s propounded a simple framework for understanding the process of organizational change known as the Three-Stage Theory which he referred as Unfreeze, Change (Transition) and Freeze (Refreeze).
- According to Lewin, Change for any individual or an organization is a complicated journey which may not be very simple and mostly involves several stages of transitions or misunderstandings before attaining the stage of equilibrium or stability.
- For explaining the process of organizational change, he used the analogy of how an ice block changes its shape to transform into a cone of ice through the process of unfreezing.

Kurt Lewin's Three Steep Model of Change Process





Kurt Lewin's Three Steep Model of Change Process

- **Stage 1 - Unfreezing:** This is the first stage of transition and one of the most critical stages in the entire process of change management. It involves improving the readiness as well as the willingness of people to change by fostering a realization for moving from the existing comfort zone to a transformed situation.
- It involves making people aware of the need for change and improving their motivation for accepting the new ways of working for better results. During this stage, effective communication plays a vital role in getting the desired support and involvement of the people in the change process.

Kurt Lewin's Three Steep Model of Change Process

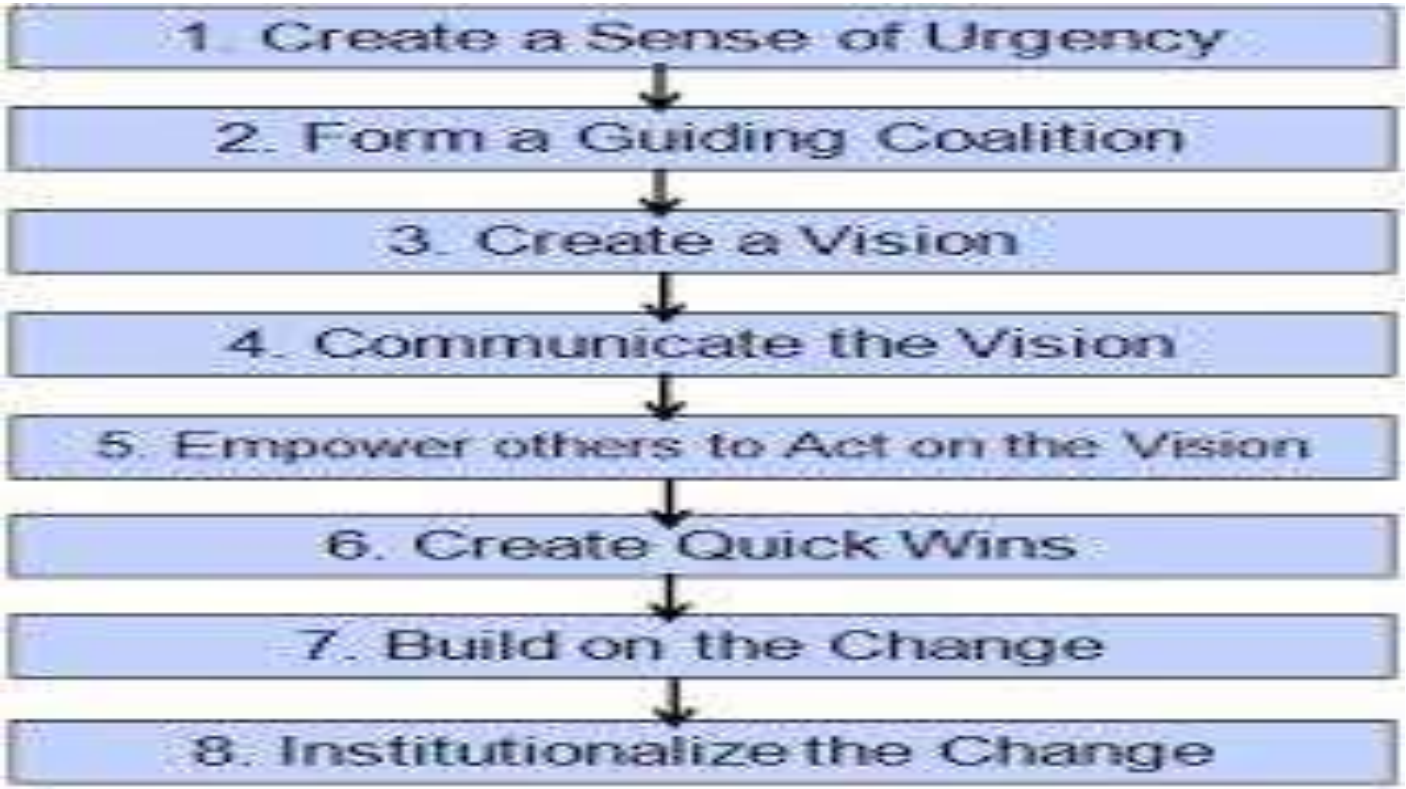
- **Stage 2 - Change:** This stage can also be regarded as the stage of Transition or the stage of actual implementation of change. It involves the acceptance of the new ways of doing things. This is the stage in which the people are unfrozen, and the actual change is implemented.
- During this stage, careful planning, effective communication and encouraging the involvement of individuals for endorsing the change is necessary. It is believed that this stage of transition is not that easy due to the uncertainties or people are fearful of the consequences of adopting a change process.

Kurt Lewin's Three Steep Model of Change Process

- **Stage 3 - Freeze (Refreezing):** During this stage, the people move from the stage of transition (change) to a much more stable state which we can regard as the state of equilibrium.
- The stage of Refreezing is the ultimate stage in which people accept or internalize the new ways of working or change, accept it as a part of their life and establish new relationships.
- For strengthening and reinforcing the new behavior or changes in the way of working, the employees should be rewarded, recognized and provided positive reinforcements, supporting policies or structures can help in reinforcing the transformed ways of working.

John Kotter Eight-Step Plan for Implementing Change

- John Kotter (1996), a Harvard Business School Professor and a renowned change expert, in his book "Leading Change", introduced 8 Step Model of Change which he developed on the basis of research on 100 organizations which were going through a process of change.



John Kotter Eight-Step Plan for Implementing Change

- **Step-1 Create a Sense of Urgency:** For change to happen, it helps if the whole company really wants it. Develop a sense of urgency around the need for change. This may help you spark the initial motivation to get things moving.
- **Step-2 Form a Guiding Coalition:** Convince people that change is necessary. This often takes strong leadership and visible support from key people within your organization. Managing change isn't enough – you have to lead it.
- **Step-3 Create a Vision for Change:** When you first start thinking about change, there will probably be many great ideas and solutions floating around. Link these concepts to an overall vision that people can grasp easily and remember.

John Kotter Eight-Step Plan for Implementing Change

- **Step-4 Communicate the Vision:** What you do with your vision after you create it will determine your success. Your message will probably have strong competition from other day-to-day communications within the company, so you need to communicate it frequently and powerfully, and embed it within everything that you do.
- **Step-5 Empower Others to Act on the Vision**: If you follow these steps and reach this point in the change process, you've been talking about your vision and building buy-in from all levels of the organization. Hopefully, your staff wants to get busy and achieve the benefits that you've been promoting.

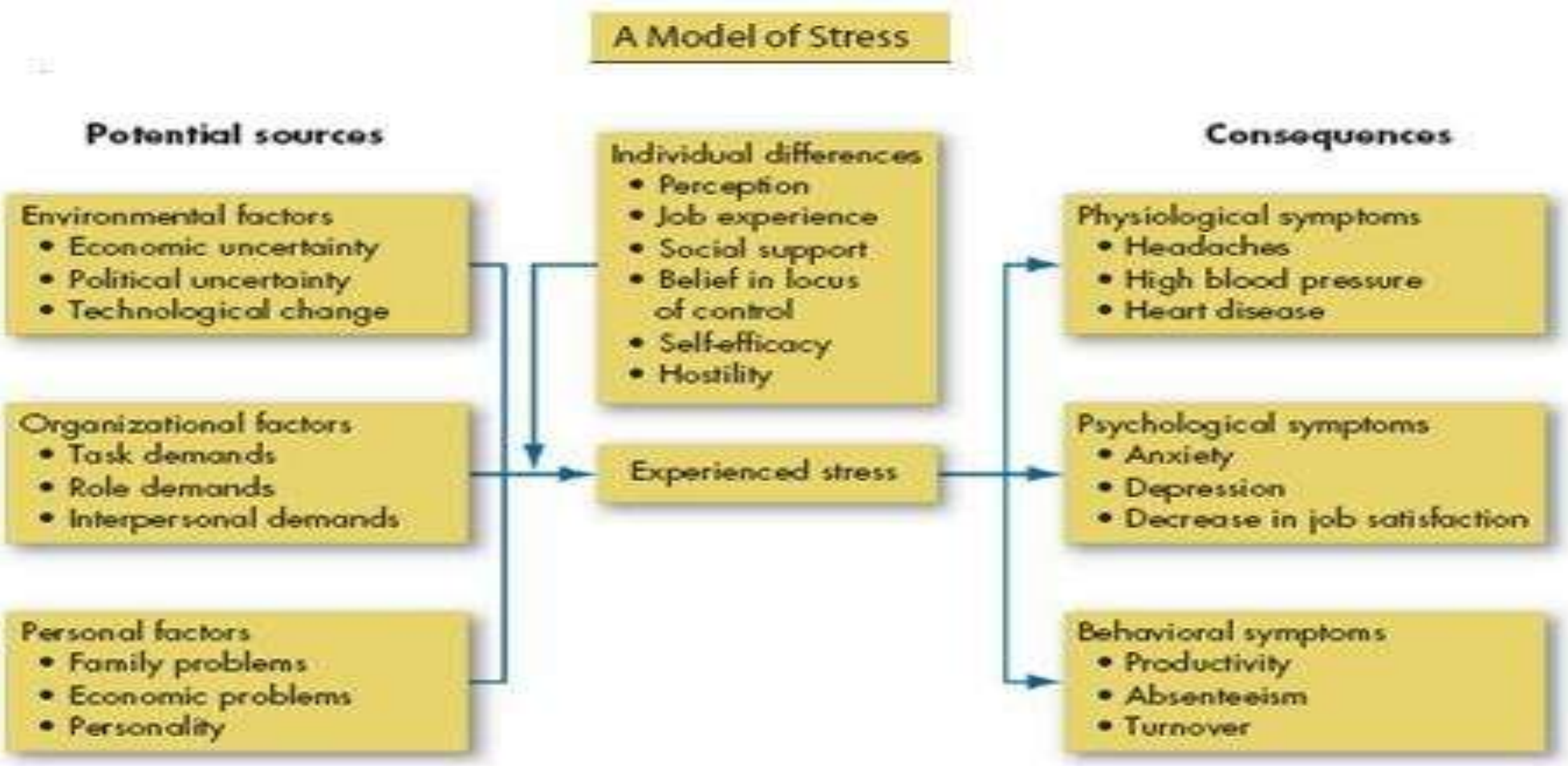
John Kotter Eight-Step Plan for Implementing Change

- **Step-6 Create Short-Term Wins:** Nothing motivates more than success. Give your company a taste of victory early in the change process. Within a short time frame (this could be a month or a year, depending on the type of change), you'll want to have some "quick wins" that your staff can see. Without this, critics and negative thinkers might hurt your progress.
- **Step-7 Build on the Change:** Kotter argues that many change projects fail because victory is declared too early. Real change runs deep. Quick wins are only the beginning of what needs to be done to achieve long-term change.
- **Step-8 Institutionalize the Change:** Finally, to make any change stick, it should become part of the core of your organization. Your corporate culture often determines what gets done, so the values behind your vision must show in day-to-day work.

Stress

- Stress is an unpleasant psychological process that occurs in response to environmental pressures. Stress is a dynamic condition in which an individual is confronted with an opportunity, demand, or resource related to what the individual desires and for which the outcome is perceived to be both uncertain and important.
- Although stress is typically discussed in a negative context, it also has a positive purpose.

A Model of Stress



Potential Sources of Stress

- **Environmental Factors –**

- Economic uncertainties of the business cycle.
- Political uncertainties of political systems.
- Technological uncertainties of technical innovations.
- Terrorism in threats to physical safety and security.

Potential Sources of Stress

- **Organizational Factors –**
- Task demands related to the job
- Role demands of functioning in an organization
- Interpersonal demands created by other employees
- Organizational structure (rules and regulations)
- Organizational leadership (managerial style)
- Organization’s life stage (growth, stability, and decline)

Potential Sources of Stress

- **Individual Factor –**

- Family and personal relationship.
- Economic problem for exceeding earning capacity.
- Personality problem arising for basic disposition.

Consequences of Stress

- **Physiological Symptoms-**
  - Immediate effects
  - Illness
  - Chronic health conditions
- **Psychological Symptoms-**
  - Anxiety
  - Lower emotional well-being
  - Lower job satisfaction

Consequences of Stress

- **Behavioral Symptoms-**
- Lower job performance
- Higher absenteeism
- Higher turnover

END OF CHAPTER

HAVE A GOOD DAY……..

Chapter-Five
Perception and Individual Decision Making

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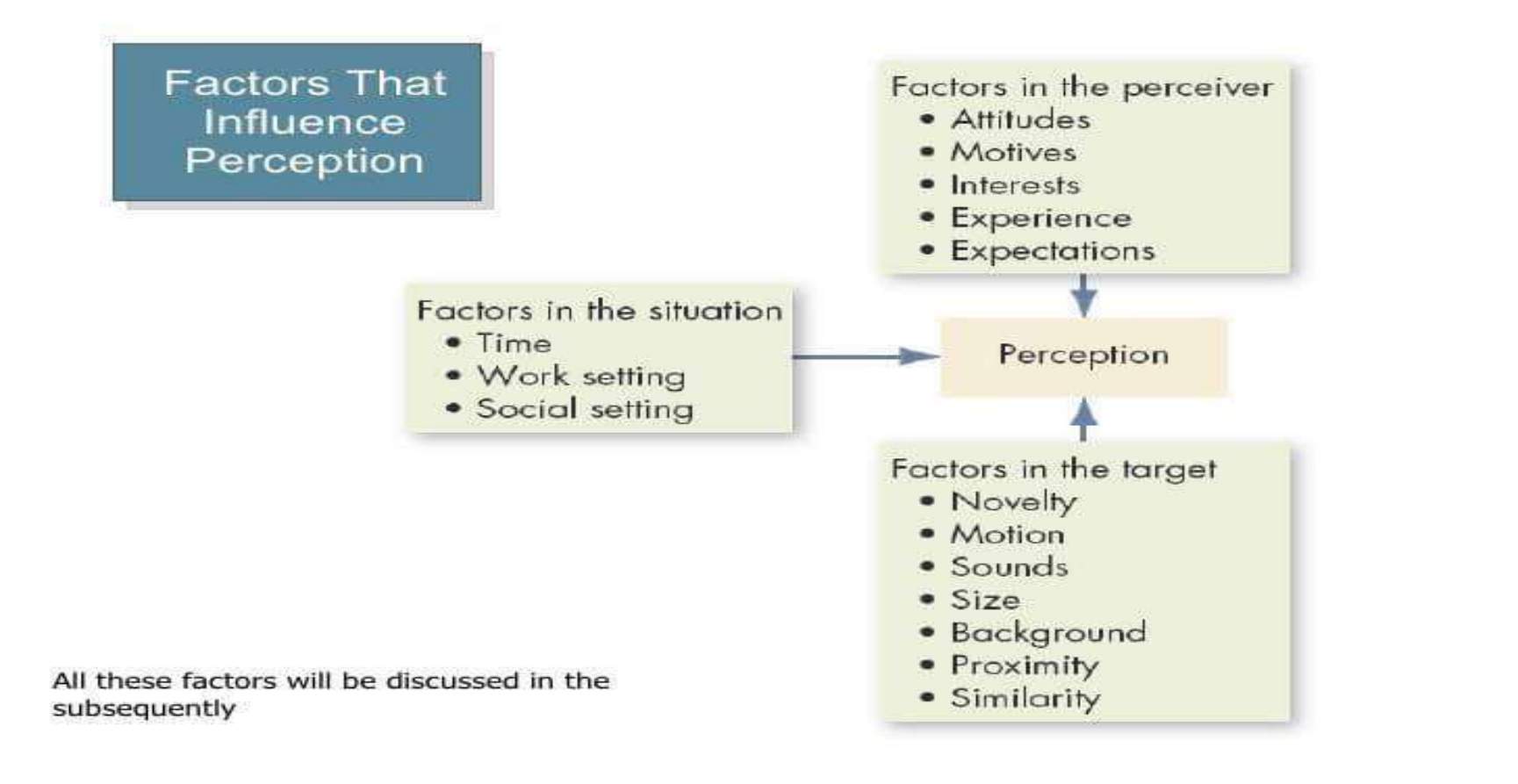
Perception

- Perception is a process by which we organize and interpret sensory impressions to give meaning to our environment. What we perceive can be substantially different from objective reality.
- For example, all employees in a firm may view it as a great place to work – favorable working conditions, interesting job assignments, good pay, excellent benefits, understanding and responsible management – but, as most of us know, it’s very unusual to find universal agreement across people.
- Perception is important in organizational behavior because people’s behavior is based on their perception of what reality is, not on reality itself.

Factors That Influence Perception

- Many factors shape and sometimes distort perception. These factors can reside in the perceiver, the object or target being perceived, or the situation in which the perception is made.



Factors That Influence Perception

- **Factors in the Perceiver:** The factors in the perceiver that affect perception are:

- **Attitudes-** Attitudes have a powerful influence on what we pay attention to, what we remember, and how we interpret information. Different attitudes lead to different interpretations.
- **Motives-** Motives stimulate individuals. It is unsatisfied need. They exert strong influence on perception. For example; hungry people tend to see images of food.
- **Emotions-** An individual's emotional state strongly influences perception. Anger and frustration distort perception.

Factors That Influence Perception

- **Interests-** Individual interests differ considerably. Interest influences the focus of attention. Differences in individual interests result in differing perceptions.
- **Experiences-** Past experiences affect the focus of attention. Individuals tend to perceive those objects or events to which they can relate to.
- **Expectations-** People see what they expect to see.

Factors That Influence Perception

- **Factors in the Target:** The factors in the target that affect perception are:
- **Novelty-** Novelty targets are more likely to be noticed than the targets observed in the past.
- **Motion, sound, size-** They shape the way we see the target. Loud people are more likely to be noticed.
- **Background-** A target is not looked at in isolation. The relationship of target to its background influences perception.
- **Proximity-** Objects that are close to each other tend to be perceived together.
- **Similarity-** Similar things need to be grouped together. For example; black people are perceived as alike even in unrelated characteristics.

Factors That Influence Perception

- **Factors in the Situation**: The factors in the situation that affect perception are:
- **Time-** The time at which an object or event is seen affects perception. For example; a daily report arriving after two days may be ignored by the perceiver.
- **Work setting-** The changing context of the work setting influences perception. For example; stressful work situations distort perception.
- **Social setting-** The changing social setting influences perception. For example; a male student wearing earrings may not be noticed in a disco but highly noticeable in the classroom.

Common Shortcuts in Judging Others

Shortcuts for judging others often allow us to make accurate perception rapidly and provide valid data for making predictions. However, they can and do sometimes result in significant distortions. These are –

- Selective Perception
- Halo and Horns Effects
- Contrast Effects
- Stereotyping

Common Shortcuts in Judging Others

- **Selective Perception:** It is impossible for us to assimilate everything we see; we can take in only certain stimuli. Because we can not observe everything going on around us, we use selective perception. But we don't choose randomly. We make selections based on our perceptions. Selective perception is the tendency to choose to interpret what one sees based on one's interest, background, experience and attitudes. Seeing what we want to see, we sometimes draw unwarranted conclusions from an ambiguous situation.

Common Shortcuts in Judging Others

- **Halo and Horns Effects:** Halo effect is the tendency to draw a positive general impression about an individual based on a single characteristic. Such as intelligence, sociability, or appearance. Horns effect is the tendency to draw a negative general impression about an individual based on a single characteristic. These effects are easy to demonstrate.

Common Shortcuts in Judging Others

- **Contrast Effect:** Contrast effect is the evaluation of a person's characteristics that is affected by comparisons with other people recently encounter who rank higher or lower on the same characteristics. We don't evaluate a person in isolation. Our reaction is influenced by other people we have recently encountered. For example, research on 22 teams in a Chinese hospitality organization that was undergoing radical organizational change and new leader appointments suggests that transformational leadership is more effective in improving support for the changes among followers when the former leader was not transformational.

Common Shortcuts in Judging Others

- **Stereotyping:** Stereotyping means judging based on one's perception of the group to which that person belongs. We deal with our complex world's unmanageable number of stimuli by using stereotypes or shortcuts called heuristics to make decision quickly.

Decision

- Decision is a choice among two or more alternatives.
- Managers at all levels and in all areas of organization make decisions. That is they make choices.
- For instance, top-level managers make decisions about their organization's goals, where to locate manufacturing facilities, or what new markets to move into.
- Middle-lower level managers make decisions about production schedules, product quality problem, pay raises, and employee discipline.
- Our focus on this chapter is on how managers make decisions.

Decision-Making Conditions

When making decisions, managers may face three different conditions. These are-

- Certainty
- Risk
- Uncertainty

❖ **Decision-Making Under Certainty:** The ideal situation for making decision is one of certainty, a situation where a manager can make accurate decisions because the outcomes of every alternative is known. For example, entrepreneurs and business managers in Sweden can be certain they will receive prompt payment for goods and services when they decide to allow customers to make purchases through financial service apps.

Decision-Making Conditions

- **Decision-Making Under Risk:** A far more common situation is one of risk, conditions in which the decision maker is able to estimate the likelihood of certain outcomes. Under risk managers have historical data from past personal experiences or secondary information that lets them assign probabilities to different alternatives.
- **Decision-Making Under Uncertainty:** Uncertainty is a situation in which a decision maker has neither certainty nor reasonable probability estimates available. Under these conditions, the choice of alternatives is influenced by the limited amount of available information and by the psychological orientation of the decision maker.

Decision-Making Biases and Errors

When managers make decisions, they may use the “rules of thumb”, or heuristics, to simplify their decision making. Rules of thumb can be useful because they help make sense of complex, uncertain, and ambiguous information. Even though managers may use rules of thumb, that doesn’t mean those rules are reliable.

Decision-Making Biases and Errors

- **Overconfidence Bias:** When decision makers tend to think they know more than they do or hold unrealistically positive views of themselves and their performance, they are exhibiting the overconfidence bias.
- **Immediate Gratification Bias:** The immediate gratification bias describes decision makers who tend to want immediate rewards and to avoid immediate costs. For these individuals decision choices that provide quick payoffs are more appealing than those with payoffs in the future.
- **Anchoring Effect:** The anchoring effect describes how decision makers fixate on initial information as a starting point and then, once set, fail to adequately adjust for subsequent information. First impressions, ideas, prices, and estimates carry unwarranted weight relative to information received later.

Decision-Making Biases and Errors

- **Selective Perception Bias:** When decision makers selectively organize and interpret events based on their biased perceptions, they are using the selective perception bias. This influences the information they pay attention to, the problems they identify, and the alternatives they develop.
- **Confirmation Bias:** Decision makers who seek out information that reaffirms their past choices and discounts information that contradicts past judgements exhibit the confirmation bias.
- **Framing Bias:** The framing bias occurs when decision makers select and highlight certain aspects of a situation while excluding others. By drawing attention to specific aspects of a situation while excluding others. By drawing attention to specific aspects of a situation and highlighting them.

Decision-Making Biases and Errors

- **Availability Bias:** The availability bias happens when decision makers tend to remember events that most recent and vivid in their memory. It distorts their ability to recall events in an objective manner and results in distorted judgements and probability estimates.
- **Representation Bias:** When decision makers assess the likelihood of an events based on how closely it resembles other events or sets of events, that's the representation bias. Managers exhibiting this bias draw analogies and see identical situations where they don't exist.
- **Randomness Bias:** The randomness bias describes the actions of decision makers who try to create meaning out random events. They do this because most decision makers have difficulty dealing with chance even though random events happen to everyone, and there is nothing that can be done to predict them.

Decision-Making Biases and Errors

- **Sunk Costs Error:** The sunk cost error occurs when decision makers forget that current choices can't correct the past. They incorrectly fixate on past expenditures of time, money, or effort in assessing choices rather than on future consequences. Instead of ignoring sunk costs, they can't forget them.
- **Self-serving Bias:** Decision makers who are quick to take credit for their successes and to blame failure on outside factors are exhibiting the self-serving bias.
- **Hindsight Bias:** Finally, the hindsight bias is the tendency for decision makers to falsely believe that they would have accurately predicted the outcome of an event once that outcome is actually known.

END OF CHAPTER

HAVE A GOOD DAY

Chapter-Six
Personality and Values

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Definition of Personality

- An individual's personality is a unique combination of emotional, thought, and behavioral patterns that affect how a person react to situations and interacts with others. It's our natural way of doing things and relating to others. Personality is most often described in terms of measurable traits a person exhibits.
- Over the years, researchers have attempted to identify, those traits that best describe personality. The two most well-known approaches are the Myers-Briggs Type Indicators (MBTI) and the Big Five Model.

Personality Determinants

An early debate centered on whether an indibidual's personality is the result of heredity or environment. Personality appears to be a result of both; however, research tends to support the importance of heredity over environment.

- Heredity
- Environment

❖ **Heredity:** Heredity refers to factors determined at conception. Physical stature, facial features, gender, temperament, muscle composition and reflexes, energy level and biological rhythms are either completely and substantially influenced by parentage – by your biological parents, physiological, and inherent psychological makeup.

Personality Determinants

- This is not to suggest that personality never changes. People's scores on dependability tend to increase over time, as when young adults start families and establish careers.
- **Environment:** Personality is not solely determined by genetic characteristics. Heredity provides only the blueprint in terms of chromosomes and genes. However, the ability to operate on that gene is largely dependent on the presence of a suitable environment. For example, a person may have mathematical ability but this ability cannot be refined unless that person is provided with the opportunity to exercise his ability for math's.
- Social Factors
- Cultural Factors
- Economic Factors

Personality Determinants

- **Social Factors:** Human beings are social animals. We are born and brought up in society. Therefore, social conditions, social institutions – family, school, marriage, religion, peer groups and neighborhood as well as various other social groups will all affect the development of personality.
- **Cultural Factors:** Culture is a comprehensive phrase that encompasses all practices, traditions, people, styles, fads, and other aspects of life. We are all influenced by one or more cultures. As a result, a cultural impact on personality is unavoidable.
- **Economic Factors:** It was demonstrated that our attitude and perception, as well as our personality, are influenced by economic factors. You may have noticed that children from low-income families frequently have low self-confidence, feelings of inferiority, and shyness.

Myers-Briggs Type Indicators (MBTI)

- One popular approach to classifying personality traits is the personality-assessment instrument known as the MBTI. This 100-question assessment ask people how they usually act or feel in different situations. On the basis of their answers, individuals are classified as exhibiting a preference in four categories. These are-
- Extraversion or Introversion (E or I)
- Sensing or Intuition (S or N)
- Thinking or Feeling (T or F)
- Judging or Perceiving (J or P)

Myers-Briggs Type Indicators (MBTI)

- **Extraversion (E) Versus Introversion (I):** Individuals showing a preference for extraversion are outgoing, social, and assertive. They need a work environment that's varied and action oriented, that lets them be with others, and that gives them a variety of experiences. Individual showing a preference for introversion are quiet and shy. They focus on understanding and prefer a work environment that is quiet and concentrated, that lets them be alone, and that gives them a chance to explore in depth a limited set of experiences.

Myers-Briggs Type Indicators (MBTI)

- **Sensing (S) Versus Intuition (N):** Sensing types are practical and prefer routine and order. They dislike new problems unless there are standard ways to solve them, have a high need for closure, show patience with routine details, and tend to be good at precise work. On the other hand, intuition types rely on unconscious processes and look at the ‘big picture’. They are individuals who like solving problems, dislike doing the same thing over and over again, jump to conclusions, are impatient with routine details, and dislike taking time for precision.

Myers-Briggs Type Indicators (MBTI)

- **Thinking (T) Versus Feeling (F):** Thinking types use reason and logic to handle problems. They are unemotional and uninterested in people's feelings, like analysis and putting things into logical order, are able to reprimand people and fire them when necessary, may seem hard-hearted, and tend to relate well only to other thinking types. Feeling types rely on their personal values and emotions. They are aware of other people and their feelings, like harmony, need occasional praise, dislike telling people unpleasant thinks, tend to be sympathetic, and relate well to most people.

Myers-Briggs Type Indicators (MBTI)

- **Judging (J) Versus Perceiving (P):** Judging types want to control and prefer their world to be ordered and structured. They are good planners, decisive, purposeful, and exacting. They focus on completing a task , make decisions quickly, and want only the information necessary to get a task done. Perceiving types are flexible and spontaneous. They are curious, adaptable, and tolerant. They focus on starting a task, postpone decisions, and want to find out all about the task before starting it.

The BIG Five Model

In recent years, research has shown that five basic personality dimensions underlie all others and encompass most of the significant variation in human personality. The five personality traits in the **BIG Five Model** are-

- **Extraversion:** The extraversion dimension captures our relational approach toward the social world. Extraverts tend to be gregarious, assertive, and sociable. They experience more positive emotions than do introverts, and they more freely express their feelings.
- **Agreeableness:** The agreeableness dimensions refers to an individual's propensity to defer to others. Agreeable people are more cooperative, warm, and trusting. You might expect agreeable people to be happier than disagreeable people.

The BIG Five Model

- **Conscientiousness:** The degree to which someone is reliable, responsible, dependable, persistent, and achievement oriented. A highly conscientious person is responsible, organized, dependable, and persistent. Those who score low on this dimension are easily distracted, disorganized, and unreliable.
- **Emotional Stability:** The degree to which someone is calm, enthusiastic, and secure (positive) or tense, nervous, depressed, and insecure (negative). The emotional stability dimension taps a person's ability to withstand stress.
- **Openness to Experience:** The degree to which someone has a wide range of interests and is imaginative, fascinated with novelty, artistically sensitive, and intellectual. Open people are creative, curious, and artistically sensitive.

The BIG Five Model

- The BIG Five Model provides more than just a personality framework. Research has shown that important relationship exist between these personality dimensions and job performance. For example, extraversion predicted performance in managerial and sales positions – occupations in which high social interaction necessary. Another study that looked at whether the five factor-model could predict managerial performance found it could if 360-degree performance ratings (that is, performance ratings from supervisors, peers, and subordinates) were used.

Additional Personality Insights

Although the traits in the Big Five are highly relevant to understanding behavior, they aren't the only personality traits that can describe someone's personality. Five other personality traits are powerful predictors of behavior in organizations.

- **Locus of Control:** Some people believe they control their own fate. Others see themselves as pawns, believing that what happens to them in their lives is due to luck or chance. The locus of control in the first case is internal; these people believe they control their own destiny. The locus of control in the second case is external; these people believe their lives are controlled by outside forces.

Additional Personality Insights

- **Machiavellianism:** The second characteristics is called Machiavellianism (Mach), named after Niccolo Machiavelli, who wrote in the sixteenth century on how to gain and manipulate power. An individual high in Machiavellianism is pragmatic, maintains emotional distance, and believes that ends can justify means. In jobs that require bargaining skills or that have substantial rewards for excelling, high Machs are productive.
- **Self-Esteem:** People differ in the degree to which they like or dislike themselves, a trait called self-esteem. Research on self-esteem (SE) offers some interesting behavioral insights. For example, self-esteem is directly related to expectations for success. Those high in SE believe they possess the ability they need to succeed at work. Individuals with high SEs will take more risks in job selection and are more likely to choose unconventional jobs than people with low SE.

Additional Personality Insights

- **Self-Monitoring :** Self-monitoring is a personality trait that measures the ability to adjust behavior to external situational factors. Individuals high in self-monitoring show considerable adaptability in adjusting their behavior. They are highly sensitive to external cues and can behave differently in different situations. High self-monitors are capable of presenting striking contradictions between their public persona and their private selves. Low self-monitors can't adjust their behavior.
- **Risk-Taking:** People differ in their willingness to take chances. Differences in the propensity to assume or to avoid risk have been shown to affect how long it takes managers to make a decision and how much information they require before making a choice. For instance, in one study where managers worked on simulated exercises that require them to make hiring decisions, high risk-taking managers took less time to make decisions and used less information in making their choices than low risk-taking managers.

Values

- Values represent basic convictions that a specific mode of conduct or end state of existence is personally or socially preferable to an opposite or converse mode of conduct or end-state of existence. Values contain a judgmental element because they carry an individual's ideas about what is right, good, or desirable. They have both content and intensity attributes.
- Values tend to be relatively stable and enduring. Many of the values we hold are established in our early years – by parents, teachers, friends and others. If we question values, they may change, but more often they are reinforced. There is also evidence linking personality to values, implying our values may be partly determined by genetically transmitted traits.

Cultural Values (Hofstede's Framework)

- Unlike personality, which is largely genetically determined, values are learned. They are passed down through generations and vary by cultures. One of the most widely referenced approaches for analyzing variations among cultures was done in the late 1970s by Geert Hofstede. Hofstede surveyed more than 116,000 IBM employees in 40 countries about their work- related values and found that managers and employees varied on five value dimensions of national culture:

- Power distance
- Individualism versus collectivism
- Masculinity versus femininity
- Uncertainty avoidance
- Long-term versus short-term orientation

Cultural Values (Hofstede's Framework)

- **Power Distance:** Power distance describes the degree to which people in a country accept that power in institutions and organizations is distributed unequally. A high rating on power distance means large inequalities of power and wealth exist and are tolerated in the culture, as in a class or caste system that discourages upward mobility.
- **Individualism Versus Collectivism:** Individualism is the degree to which people prefer to act as individuals rather than as members of groups and believe in an individual's rights above all else. Collectivism emphasizes a tight social framework in which people expect others in groups of which they are a part to look after them and protect them.

Cultural Values (Hofstede's Framework)

- **Masculinity Versus Femininity:** Hofstede's construct of masculinity is the degree to which the cultures favors traditional masculine roles such as achievement, power, and control, as opposed to viewing men and women as equals. A high masculinity rating indicates the culture has separate roles for men and women, with men dominating the society.
- **Uncertainty Avoidance:** The degree to which people in a country prefer structured over unstructured situations defines their uncertainty avoidance. In cultures scoring high on uncertainty avoidance, people have increased anxiety about uncertainty and ambiguity and use laws and controls to reduce uncertainty. People in cultures low on uncertainty avoidance are more accepting of ambiguity, are less rule oriented, take more risks, and accept change more rapidly.

Cultural Values (Hofstede's Framework)

- **Long-term Versus Short-term Orientations:** This typology measures a society's devotion to traditional values. People in a culture with long-term orientation look to the future and value thrift, persistence, and tradition. In a short-term orientation, people value the here and now, they also accept change more readily and don't see commitments as impediments to change.

END OF CHAPTER

HAVE A GOOD DAY

Management and Organizational Behavior

Chapter: 06. Motivation Concepts

Motivation

Making people to do the job. The desire to do the job. The process of inspiring employees to do the assigned job. Motivation is an important factor which encourages persons to give their best performance and help in reaching enterprise goals. A strong positive motivation will enable the increased output of employees but a negative motivation will reduce their performance. We define **motivation** as the processes that account for an individual's intensity, direction, and persistence of effort toward attaining a goal. While general motivation is concerned with effort toward any goal, we'll narrow the focus to organizational goals in order to reflect our singular interest in work-related behavior.

The Motivation Framework (steps):

i. Need or deficiency
ii. Search for ways to satisfy need
iii. Choice of behavior to satisfy need
iv. Evaluation of need satisfaction
v. Determination of future needs and search for satisfaction

Early Theories of Motivation

Four theories of employee motivation formulated during the 1950s, although now of questionable validity, are probably still the best known. We discuss more valid explanations later, but these four represent a foundation on which they have grown, and practicing managers still use them and their terminology.

1. Hierarchy of Needs Theory

The most well-known theory of motivation is Abraham Maslow's Hierarchy of Needs. A hierarchy of five needs-physiological, safety, social, esteem, and self-actualization in which, as each need is substantially satisfied, the next need becomes dominant.

i. Physiological: Includes hunger, thirst, shelter, and other bodily needs.

ii. Safety: Security and protection from physical and emotional harm.

iii. Social: Affection, belongingness, acceptance, and friendship.

iv. Esteem: internal factors such as self-respect, autonomy, and achievement and external factors such as status, recognition, and attention.

v. Self- Actualization: drive to become what one is capable of becoming; includes growth, achieving one's potential, and self-fulfillment.

Maslow separated the five needs into higher and lower orders. Physiological and safety needs, where the theory says people start, were **lower-order needs**, and social, esteem, and **self-actualization** were **higher-order needs**. Higher-order needs are satisfied internally (within the person), whereas lower-order needs are predominantly satisfied externally (by things such as pay, union contracts, and tenure).

Maslow's theory has received wide recognition, particularly among practicing managers. It is intuitively logical and easy to understand. When introduced, it provided a compelling alternative to behaviorist theories that posited only physiological and safety needs as important. Unfortunately, however, research does not validate it. Maslow provided no empirical substantiation, and several studies that sought to validate it found no support for it. There is little evidence that need structures are organized as Maslow proposed, that unsatisfied needs motivate,

or that a satisfied need activates movement to a new need level. But old theories, especially intuitively logical ones, apparently die hard.

2. Theory X and Theory Y

Douglas McGregor proposed two distinct views of human beings: one basically negative, labeled Theory X, and the other basically positive, labeled Theory Y.

Theory X

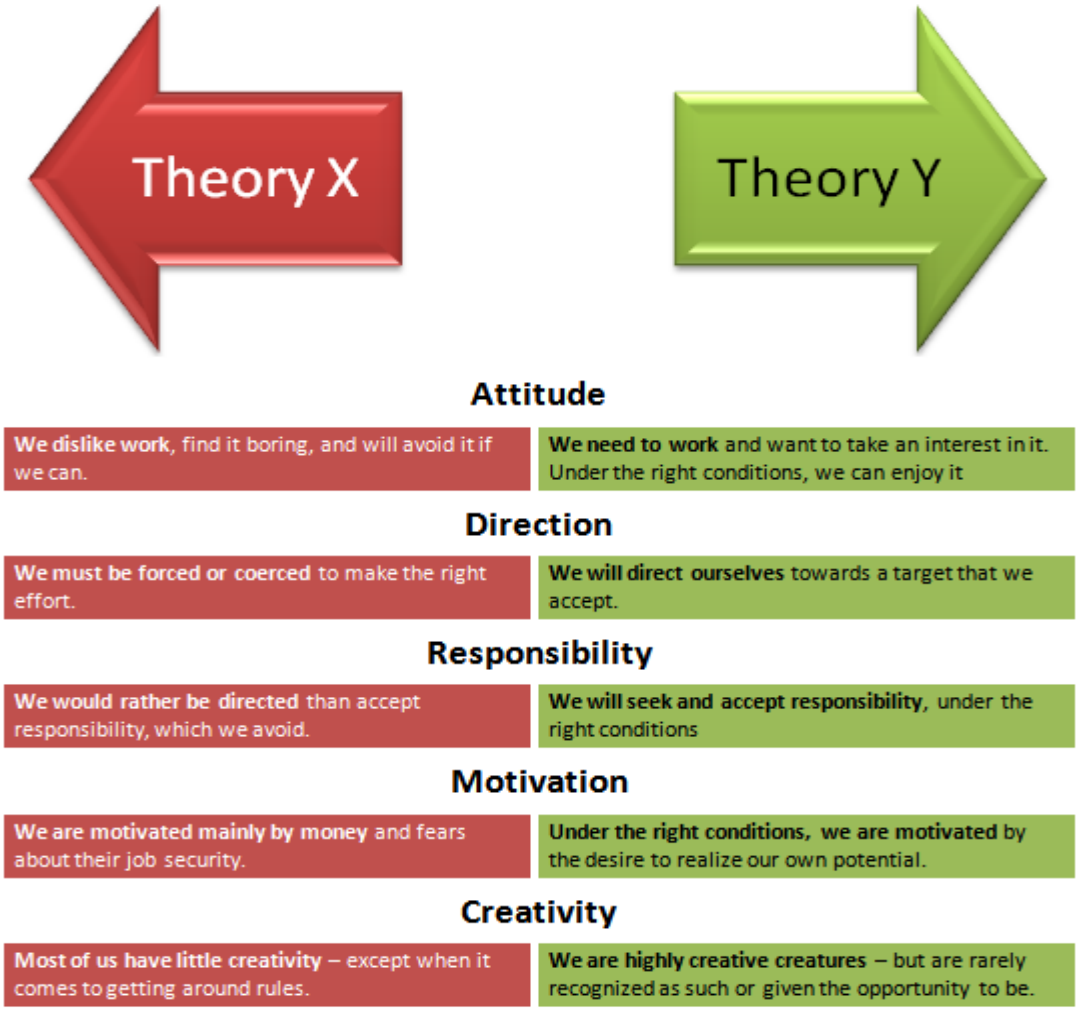
The assumption that employees dislike work, are lazy, dislike responsibility, and must be coerced to perform. Assumptions of Theory X are:

- An average employee intrinsically does not like work and tries to escape it whenever possible.
- Many employees rank job security on top, and they have little or no aspiration or ambition.
- Employees generally dislike responsibilities.
- Employees resist change.
- An average employee needs formal direction.

Theory Y

The assumption that employees like work, are creative, seek responsibility, and can exercise self-direction. An optimistic view of workers consistent with human relations approach. Assumptions of Theory Y are:

- Employees can perceive their job as relaxing and normal.
- Employees exercise their physical and mental efforts in an inherent manner in their jobs.
- They can use self-direction and self-control if they are dedicated and sincere to achieve the organizational objectives.
- An average employee can learn to admit and recognize the responsibility
- Employees are internally motivated, enjoy their job, and work to better themselves without a direct reward in return.



To understand more fully, think in terms of Maslow's hierarchy. Theory Y assumes higher-order needs dominate individuals. McGregor himself believed. Theory Y assumptions were more valid than Theory X. Therefore, he proposed such ideas as participative decision making, responsible and challenging jobs, and good group relations to maximize an employee's job motivation.

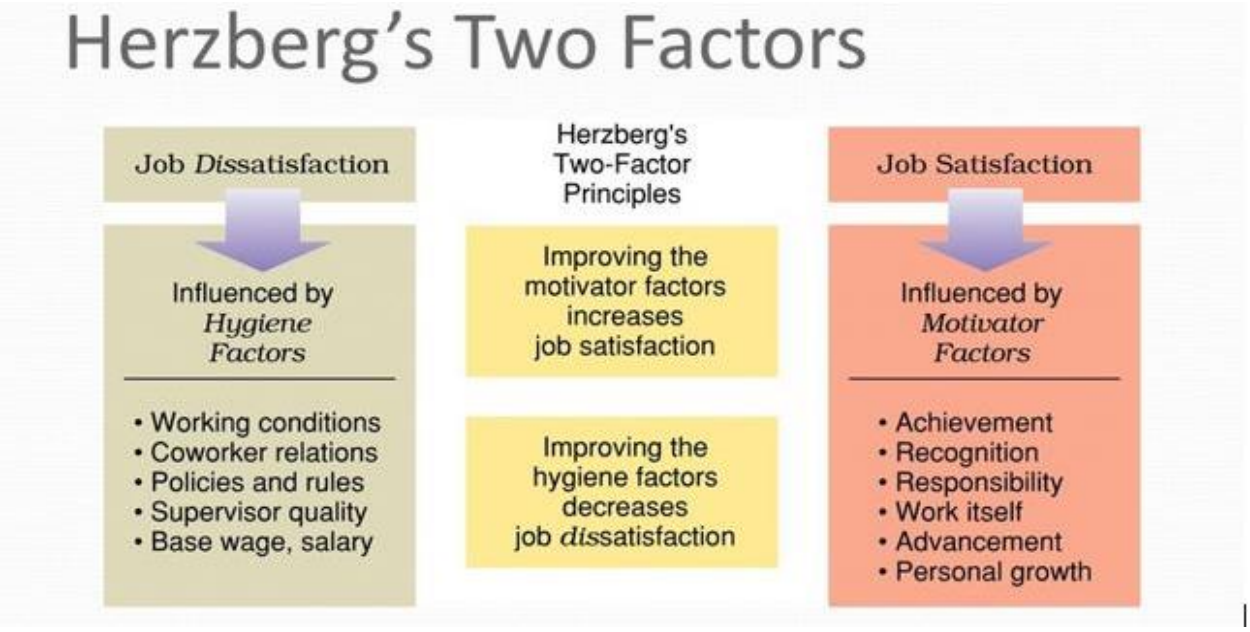
Unfortunately, no evidence confirms that either set of assumptions is valid or that acting on Theory Y assumptions will lead to more motivated workers. OB theories need empirical support before we can accept them. Theory X and Theory Y lack such support as much as the hierarchy of needs.

3. Two-Factor Theory

Frederick Herzberg developed a theory which is called Two-Factor Theory. Here one factor is Hygiene Factor and another one is Motivation Factor. The hygiene factor can cause dissatisfaction if they are not present, but do not create satisfaction when they are present. On the other hand, motivation factor can create satisfaction if they are present but do not create dissatisfaction when they are not present.

Hygiene Factors:

- Company Policy
- Supervision
- Relationship with Boss
- Work Conditions
- Salary
- Relationship with Peers



Motivation Factors:

- Achievement
- Recognition
- Responsibility
- Advancement
- Growth

The two-factor theory has not been well supported in the literature, and it has many detractors. Criticisms include the following:

1. Herzberg's methodology is limited because it relies on self-reports. When things are going well, people tend to take credit. Contrarily, they blame failure on the extrinsic environment.

2. The reliability of Herzberg's methodology is questionable. Raters have to make interpretations, so they may contaminate the findings by interpreting one response in one manner while treating a similar response differently.

3. No overall measure of satisfaction was utilized. A person may dislike part of a job yet still think the job is acceptable overall.

4. Herzberg assumed a relationship between satisfaction and productivity, but he looked only at satisfaction. To make his research relevant, we must assume a strong relationship between satisfaction and productivity.

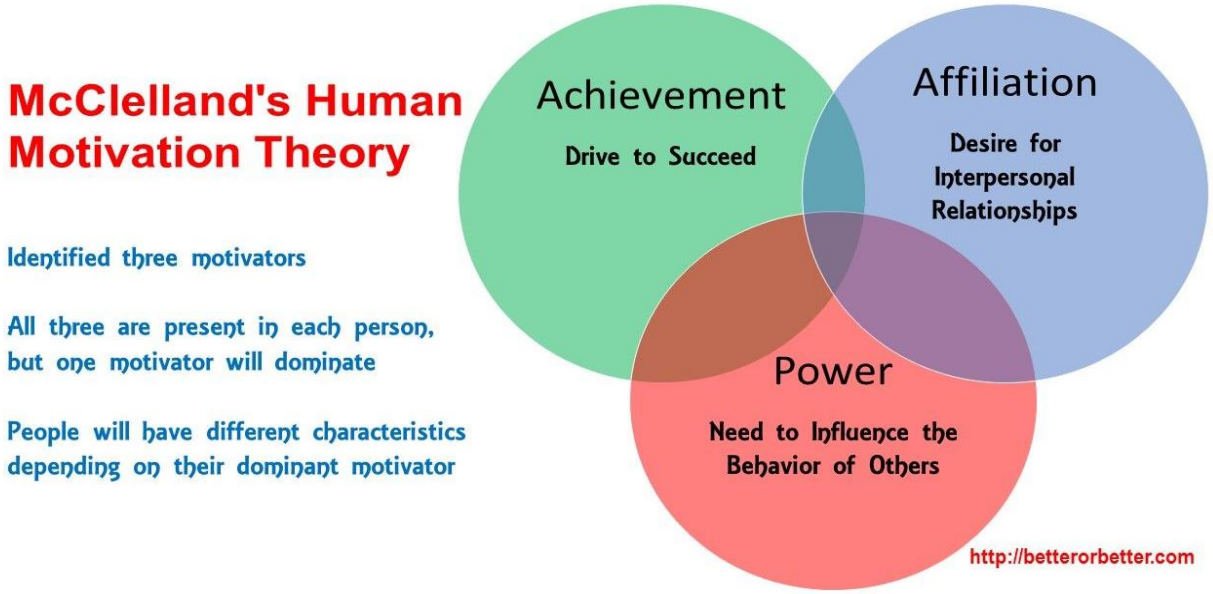
Regardless of the criticisms, Herzberg's theory has been widely read, and few managers are unfamiliar with its recommendations.

4. McClelland's Theory of Needs

McClelland's Theory of Needs was developed by David McClelland and his associates. This theory focuses on specific individual human needs that are important in organizations. The three most important needs are:

1. Need for Achievement: The desire to accomplish a goal or task more effectively than in the past. Need for achievement (nAch) is the drive to excel, to achieve in relationship to a set of standards. Assumptions are:

- Has a strong need to set and accomplish challenging goals.
- Takes calculated risks to accomplish assigned goals.
- Likes to receive regular feedback on progress and achievements.
- Often likes to work alone.



2. Need for Affiliation: The desire for human companionship and acceptance. Need for affiliation (nAff) is the desire for friendly and close interpersonal relationships. Assumptions are:

- Wants to belong to the group.
- Wants to be liked, and will often go along with whatever the rest of the group wants to do.
- Favors collaboration over competition.
- Doesn't like high risk or uncertainty.

3. Need for Power: The desire to be influential in a group and to control one's environment. Need for power (nPow) is the need to make others behave in a way they would not have otherwise. Assumptions are given below:

- Wants to control and influence others.
- Likes to win arguments.
- Enjoys competition and winning.
- Enjoys status and recognition.

Among the early theories of motivation, McClelland's has had the best research support. Unfortunately, it has less practical effect than the others. Because McClelland argued that the three needs are subconscious—we may rank high on them but not know it—measuring them is not easy. In the most common approach, a trained expert presents pictures to individuals, asks them to tell a story about each, and then scores their responses in terms of the three needs. However, the process is time consuming and expensive, and few organizations have been willing to invest in measuring McClelland's concept.

Foundations of Organizational Structure

Definition of Organizational Structure

Organizational structure refers to the formal system that outlines how tasks are divided, grouped, and coordinated within an organization. It defines the hierarchy of authority, reporting relationships, communication channels, and the distribution of responsibilities among employees and departments. The structure serves as a blueprint that guides how employees work together to achieve organizational goals.

A well-designed organizational structure ensures smooth workflow, reduces confusion, enhances coordination, and improves decision-making. It also influences organizational culture, efficiency, and overall performance.

A well-defined structure ensures Efficient workflow, Effective communication, Clear reporting lines, Strategic alignment and Faster decision-making.

Key Elements of Organizational Structure

- **Hierarchy of Authority**
  Specifies who reports to whom and clarifies the chain of command.
- **Division of Labor**
  Outlines how tasks and responsibilities are allocated among individuals or teams.
- **Departmentalization**
  Groups jobs into departments based on functions, products, geography, processes, or customers.
- **Span of Control**
  Indicates how many subordinates a manager can effectively supervise.
- **Centralization vs. Decentralization**
  Determines the extent to which decision-making is concentrated at the top or distributed across levels.
- **Formalization**
  Refers to the degree of rules, procedures, and standardization within the organization.

Organizational structure also shapes culture and influences employee behavior.

Work Specialization

Work specialization, also known as **division of labor**, refers to the degree to which tasks in an organization are divided into separate jobs. It means breaking down a complex task into smaller,

simpler tasks and assigning each part to an individual or group who becomes highly skilled at performing that specific task.

In this system, employees focus on a narrow set of activities, which increases their expertise, speed, and efficiency.

Key Features of Work Specialization

- **Narrow job focus:** Each worker performs a specific part of the overall process.
- **Improved skills:** Repeating the same task results in greater expertise.
- **Increased productivity:** Tasks are completed faster due to specialization.
- **Efficient use of talent:** Employees are matched to tasks they perform best.

Advantages of Work Specialization

- Higher efficiency and productivity
- Faster task completion
- Reduced training time
- Increased employee expertise
- Low cost of labor in routine jobs

Disadvantages of Work Specialization

- Job boredom and monotony
- Reduced job satisfaction
- Limited flexibility of employees
- Dependence on a few specialized skills
- Risk of burnout due to repetitive tasks

Example

In an automobile factory, one worker installs doors, another fits the engine, another paints the car. Each worker is responsible for a specific task rather than building the entire car.

Organizations often find a balance between specialization and job enrichment.

Chain of Command

The **chain of command** refers to the formal line of authority within an organization that shows who reports to whom. It establishes a clear pathway through which decisions flow from top management to lower-level employees, and information moves upward from employees to managers.

This structure ensures order, clarity, and discipline by defining each employee's supervisor and outlining responsibilities and reporting relationships.

Key Elements of Chain of Command

- **Authority**
  The right of managers to give orders and expect them to be followed.
- **Responsibility**
  The obligation of employees to perform the duties assigned to them.
- **Unity of Command**
  Each employee should report to **only one** direct supervisor, which helps avoid confusion and conflict.
- **Scalar Chain**
  A clear, unbroken line of authority from the highest position (CEO/Top Management) to the lowest-level employee.

Importance of Chain of Command

- Ensures smooth communication
- Prevents confusion and overlapping authority
- Helps in quick and clear decision-making
- Enhances discipline and accountability

- Eliminates conflict by defining roles clearly
- Facilitates coordination among departments

Example

In a university:

- The Vice-Chancellor gives directives to Deans
- Deans communicate with Department Heads
- Department Heads guide faculty members
- Faculty members instruct students

This hierarchy shows a proper chain of command.

Span of Control

Span of control refers to the number of subordinates a manager can effectively supervise. It indicates how many employees directly report to a manager or supervisor. This concept helps determine the structure of an organization—whether it will be **tall** (many levels of hierarchy) or **flat** (fewer levels).

Types of Span of Control

1. **Wide Span of Control**
    - A manager supervises a large number of employees.
    - Leads to a **flat structure**.
    - Encourages faster communication and more employee autonomy.
2. **Narrow Span of Control**
    - A manager supervises only a few employees.
    - Leads to a **tall structure**.
    - Provides closer supervision and better control.

Factors Affecting Span of Control

- **Nature of work** (routine tasks allow wider span)
- **Manager's experience and capability**
- **Employee skill level**
- **Use of technology**
- **Geographical dispersion of employees**
- **Complexity of tasks**

Advantages

Wide Span:

- Lower cost (fewer managers)
- Faster decision-making
- More flexible and decentralized
- Encourages employee empowerment

Narrow Span:

- Better supervision
- More control
- Easier management of complex tasks

Disadvantages

Wide Span:

- Managers may be overloaded
- Less supervision
- Risk of ineffective control

Narrow Span:

- Higher cost (more managers)
- Slow communication
- More layers of hierarchy

Example

A department head supervising **10 teachers** has a wide span of control. A supervisor managing **3 employees** has a narrow span of control.

Centralization and Decentralization

Centralization and Decentralization

Centralization and decentralization refer to the distribution of decision-making authority within an organization. They show **where power, control, and authority lie**—either at the top levels or shared across lower levels of management. Centralization concentrates decision-making power at the top levels. Decentralization distributes authority across lower levels.

Centralization

Centralization means that decision-making authority is concentrated at the top level of management. Important decisions are made by senior leaders, and lower-level managers mainly follow instructions.

Characteristics of Centralization

- Top managers hold most authority
- Decisions flow from upper levels to lower levels
- Strict control and close supervision
- Standardized policies and procedures

Advantages

- Consistent and uniform decisions
- Strong leadership and control

- Better coordination
- Useful in crisis or risky situations

Disadvantages

- Slow decision-making
- Overloaded top managers
- Less employee participation
- Reduced flexibility and innovation

Example

A government department where all major decisions are taken by top officials.

Decentralization

Decentralization means distributing decision-making power across various levels of the organization. Lower-level managers have the authority to make decisions within their areas.

Characteristics of Decentralization

- Authority is delegated to lower levels
- Greater autonomy for employees and managers
- Faster decision-making
- Encourages initiative and creativity

Advantages

- Quick and flexible decisions
- Higher employee motivation
- Better handling of local or departmental issues
- Reduces pressure on top management

Disadvantages

- Lack of uniformity
- Risk of inconsistent decisions
- Requires skilled managers
- Difficult to coordinate if not managed properly

Example

A large retail chain where each store manager decides on promotions, staffing, and daily operations.

Comparison Table: Centralization vs Decentralization

Centralization	Decentralization
Decisions made at top-level management	Decisions delegated to lower-level employees
Uniform policies	Responsive to local needs
Slower decision-making	Faster decision-making

Common Organizational Designs

Organizational design refers to how an organization structures its roles, responsibilities, communication, and authority to achieve its goals effectively. Several common designs are used in modern organizations depending on size, strategy, and environment.

Below are the most widely used organizational designs:

A. Simple Structure

A simple structure is a **flat organization** with minimal levels of hierarchy. The owner or top manager makes most decisions.

Features

- Low departmentalization
- Wide span of control

- Centralized authority
- Little formalization

Used by

Small businesses, startups.

B. Functional Structure

This structure groups employees based on **specialized functions** such as marketing, finance, HR, production, etc.

Features

- High specialization
- Clear chain of command
- Efficient for routine tasks Groups jobs by function
- Efficient and specialized
- Poor cross-department communication

Used by

Stable organizations with limited product lines.

C. Divisional Structure

The organization is divided into **units based on products, customers, or geography**. Each division operates almost like its own company.

Types

- Product divisional structure
- Geographic divisional structure
- Customer-based divisional structure
- Based on product, region, or customer

- Flexible and accountable
- Can duplicate resources

Used by

Large organizations with diverse product lines (e.g., multinational corporations).

D. Matrix Structure

A matrix design combines **functional** and **divisional** structures. Employees have **dual reporting relationships**—typically to both a functional manager and a project or product manager.

Features

- Flexible and dynamic
- Encourages collaboration
- Can cause confusion due to dual authority Dual reporting relationships
- Highly flexible and collaborative
- Can create authority conflicts

Used by

Organizations handling multiple projects (e.g., tech firms, engineering firms).

Organizational Strategy

Organizational strategy refers to the long-term plan that an organization develops to achieve its mission, vision, and overall goals. It outlines *what the organization wants to become* and *how it will get there*. This strategy guides decision-making, resource allocation, and actions across all levels of the organization.

It serves as a roadmap that helps the organization respond to environmental changes, competitive pressures, and internal capabilities. Structure depends on strategy.

A. Innovation Strategy

* Flexible and decentralized

* Encourages creativity

B. Cost-Minimization Strategy

* Tight control and standardization

* Mechanistic structure

C. Imitation Strategy

* Mix of flexibility and control

* Balanced structure

Organizations adjust structure as strategies evolve.